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J'Accuse! Antisemitism and financial markets in the time of the Dreyfus Affair

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1 Big picture

- **Question.** How did a major antisemitic political crisis affect the market valuation of firms connected to prominent Jewish families in late nineteenth-century France?
- **Setting.** The paper studies firms listed on the official Paris Stock Exchange during 1891–1899, covering the Panama scandal and the Dreyfus Affair.
- **Exposure.** Jewish connections are measured by the share of Jewish board members and by an indicator for firms with a Jewish CEO/chairman, using names from a historical registry of prominent French Jewish families.
- **Main short-run result.** Antisemitic shocks such as the 1892 Panama revelations and Dreyfus’ 1895 degradation generated negative abnormal returns for Jewish-connected firms.
- **Main medium-run result.** After Zola’s *J’Accuse!* in January 1898 and during the rehabilitation campaign, Jewish-connected firms earned positive relative returns.
- **Risk result.** Volatility rose after *J’Accuse!*, but risk-adjusted returns also rose, implying that investors were compensated for taking positions in Jewish-connected stocks.
- **Fundamentals check.** Dividend regressions do not show corresponding improvements in operating profitability; the price movements appear to reflect changing beliefs and risk rather than cash-flow improvements.
- **Economic takeaway.** Financial markets do not automatically eliminate discrimination. Arbitrage can profit from biased prices, but volatility in discriminatory beliefs can make arbitrage risky and slow.

2 Data and measurement

2.1 Historical setting and timeline

The Dreyfus Affair began after Alfred Dreyfus, a Jewish officer in the French army, was accused of treason in 1894 and publicly degraded in January 1895. The first phase runs from Dreyfus’ degradation until the publication of *J’Accuse!* in January 1898; the second phase begins with *J’Accuse!*, when evidence of miscarriage of justice became salient and pro-Dreyfus mobilization expanded.

Interpretation: The timing creates both negative shocks and later rehabilitation shocks, which helps separate intensified antisemitism from changing beliefs about the Dreyfus case.

2.2 Financial-market data

The main market is the official Paris Stock Exchange, the Parquet. The authors hand-collect firm characteristics from the *Annuaire des Agents de Change* and daily prices from the *Bulletin de la Cote*. The sample contains 140 listed firms during 1891–1899, including 124 firms listed throughout the full period. Government bonds, Rentes, provide the risk-free rate.

Interpretation: The dataset is unusually rich for the historical period: daily prices, risk-free rates, firm characteristics, and board composition allow event-study and DID designs.

2.3 Jewish board membership and firm exposure

Jewish connections are based on Grange (2016), which identifies 40 prominent French Jewish extended families between 1870 and 1940. Board members are classified as Jewish when first and last names exactly

match full names in Grange’s registry. The authors identify 44 unique Jewish individuals among 1,244 board members in 1891–1899. Two exposure variables are used: fraction of Jewish board members and a dummy for firms with a Jewish CEO/chairman.

Interpretation: The exposure variable captures public association with recognizable Jewish business families, which is the relevant object for investors’ discriminatory beliefs.

2.4 Outcomes, controls, and media data

Outcomes include daily returns, monthly returns, cumulative abnormal returns, volatility measured by squared demeaned returns, risk-adjusted returns, log dividends, dividends-to-price, and foreign-based firm returns. Controls include sector, admission type, state guarantee, foreign operations, political connections, and initial market capitalization. Newspaper coverage is measured as manually coded paragraphs about the Affair in pro-Dreyfus and anti-Dreyfus newspapers.

Interpretation: The paper separates price, risk, profitability, foreign exposure, and media channels rather than relying on a single return regression.

3 Models and empirical specifications

3.1 Event study

$$CAR_i = \beta_0 + \beta_1 JewishBoardMembers_i + \Omega X_i + \varepsilon_i.$$

CARs are estimated over a $[0,2]$ event window. Firm-specific betas are estimated using a one-factor market model over a $[-300,-60]$ window before the first Panama revelations.

Interpretation: This is a cross-sectional event study that asks whether Jewish-connected firms are repriced immediately around salient events.

3.2 Difference-in-differences

$$y_{it} = \alpha + \beta_1 JewishConnections_i \times 1\{Degradation \leq t \leq J' Accuse\}_t \\ + \beta_2 JewishConnections_i \times 1\{t \geq J' Accuse\}_t + \delta_i + \delta_t + (X'_i \theta_t)' \eta + \varepsilon_{it}.$$

Interpretation: The first interaction measures the first phase of the Affair, and the second interaction measures the post-*J'Accuse!* rehabilitation phase. Firm fixed effects absorb time-invariant firm differences, while time fixed effects absorb market-wide shocks.

3.3 Synthetic DID, CEM, and mechanism regressions

Synthetic DID constructs a weighted control group for firms with Jewish CEOs. Coarsened Exact Matching matches firms on sector, admission type, guarantee type, foreign operations, political connections, and initial capitalization. Additional specifications study volatility, risk-adjusted returns, dividends, foreign-based firms, and media coverage.

Interpretation: These methods probe the same fact from different angles: matched controls, pre-trend-adjusted controls, risk compensation, fundamentals, foreign exposure, and media salience.

3.4 Conceptual model of biased investors

The model extends De Long et al. (1990). Antisemitic investors have biased beliefs about Jewish and non-Jewish stocks. The key pricing equation is:

$$\mathbf{p}_t = \mathbf{1} + \frac{\mu}{1+r}(\boldsymbol{\rho}_t - \boldsymbol{\rho}^*) + \frac{\mu}{r}\boldsymbol{\rho}^* - \frac{2\gamma\mu^2}{r(1+r)^2}\Sigma_{\rho}\mathbf{1}.$$

Interpretation: Long-run discriminatory bias lowers Jewish-connected stock prices; volatility in biased beliefs raises risk and limits arbitrage. *J'Accuse!* can initially raise uncertainty but gradually reduce biased beliefs.

4 Detailed identification strategy

4.1 Event-study identification

The event study uses narrow windows around sharp historical events. The identifying idea is that these events changed discriminatory sentiment or information about Dreyfus faster than firm fundamentals could change.

4.2 DID identification

The DID assumption is conditional parallel trends: absent the Affair, Jewish-connected firms would not have followed systematically different return paths after conditioning on firm effects, time effects, and interacted controls. Figure 1 supports this by showing weak pre-trends before 1894.

4.3 Threats and responses

Jewish-connected firms are not randomly distributed across sectors or foreign operations, so the paper uses controls interacted with period dummies, synthetic DID, and CEM. Board composition is stable, reducing concerns that exposure changes endogenously. Dividends and foreign-firm tests reduce concerns that profitability or domestic policy backlash drives the results.

Interpretation: The paper is strongest as evidence that discriminatory beliefs affected market prices, rather than as a complete structural decomposition of all channels.

5 Tables and figures

5.1 Table 1: Sectors and Characteristics of Firms with Jewish Connections

Read: Panel (a) reports Jewish representation by sector; panel (b) documents observable differences. Gas/electricity and railways/transport have especially high Jewish-CEO exposure.

Interpretation: Table 1 motivates the control strategy because Jewish-connected firms differ across sectors and foreign operations.

Economic message: Exposure is meaningful, but observable imbalance must be handled carefully.

Table 1
Sectors and Characteristics of Firms with Jewish Connections.

	Firms (1)	% Board Members (2)	Jewish CEO (3)
<i>Sector</i>	(a) Jewish Connections by Sector		
Banking/Insurance	33	0.046	0.145
Gas/Electricity	12	0.164	0.380
Mining/Heavy Industry	29	0.050	0.074
Railways/Transport	36	0.071	0.238
Other	30	0.069	0.033
Total (average)	140	0.068	0.150
St. Dev.		(0.106)	(0.329)
	(b) Firm Characteristics and Jewish Connections		
Stock price (Fr.)	763.74	112.208 (600.683)	-180.412 (157.270)
Daily returns	0.010	-0.034* (0.018)	-0.004 (0.004)
Liquidity (traded on any day)	0.70	-0.123 (0.183)	-0.011 (0.051)
Banking/Insurance	0.24	-0.469 (0.319)	-0.020 (0.109)
Gas/Electricity	0.08	0.906*** (0.308)	0.200* (0.104)
Mining/Heavy Industry	0.20	-0.655*** (0.217)	-0.151* (0.077)
Railways/Transports	0.27	0.147 (0.354)	0.203 (0.126)
Other sectors	0.21	0.071 (0.322)	-0.232 (0.075)
State guarantee	0.22	-0.038 (0.320)	0.050 (0.114)
Foreign operations	0.26	0.628 (0.439)	0.333*** (0.126)
Number of shares	98.57	140.707 (154.805)	47.811 (50.435)
Market Cap. in 1891 (Million Fr.)	88,492.08	40,674.00 (114,834.2)	7,570.04 (57,898.53)
Market-to-book ratio	2.56	-4.190 (3.707)	-1.599* (0.828)
Board Size	9.95	-2.771 (3.178)	-0.519 (1.228)
Politically connected	0.61	0.260 (0.470)	0.105 (0.116)

Notes: Panel (a) reports descriptive statistics on Jewish board membership across sectors. Panel (b) reports the coefficients and standard errors from OLS regressions of the form: $y_i = \alpha + \beta \text{JewishConnections}_i + \varepsilon_i$, where Jewish connections are measured as the fraction of Jewish board members (column 2) or a dummy for firms with a Jewish CEO (column 3). The sample averages differ slightly from those in Appendix Table A.1 since here we use data at the firm level instead of data at the firm-day level. * p<0.1, ** p<0.05, *** p<0.01. Heteroskedasticity-robust standard

Table 1: Sectors and Characteristics of Firms with Jewish Connections.

5.2 Table 2: Cumulative Abnormal Returns of Firms with Jewish Connections

Read: Panama revelations and Dreyfus' degradation produce negative abnormal returns; the Waldeck-Rousseau cabinet produces large positive abnormal returns.

Interpretation: Events reinforcing antisemitic sentiment hurt Jewish-connected firms, while events supporting rehabilitation raise their valuations.

Economic message: Financial markets priced discriminatory sentiment quickly.

Table 2
Cumulative Abnormal Returns of Firms with Jewish Connections.

	Sep 5, 1892 Panama revelations (1)	Nov 20, 1892 Reinach (2)	Jan 5, 1895 Degradation (3)	Jan 13, 1898 "J'Accuse" (4)	Jun 22, 1899 Waldeck-Rousseau (5)	Sep 19, 1899 Pardon (6)
% Jewish Board Members	-3.073** (1.327)	-1.184 (1.797)	-4.372** (1.935)	-3.457* (2.010)	11.339** (4.609)	1.786 (1.701)
Constant	-0.662 (2.262)	-3.273 (3.003)	-0.837 (4.727)	1.279 (3.171)	-2.050 (4.955)	3.315 (3.505)
Observations (Firms)	124	124	124	124	124	124
R ²	0.17	0.11	0.14	0.14	0.26	0.09

Notes: This table reports estimates from equation (1). The dependent variables are cumulative abnormal returns estimated over a [0,2] time window around each event. Firm-specific betas are estimated via a 1-factor model in a [-300,-60] estimation window before the first Panama revelations on September 5, 1892. Jewish connections are measured as the fraction of Jewish board members based on Grange (2016). See Section 3 for details. All regressions control for sector dummies, admission type, guarantee by the French state, political connections, whether the firm operates abroad, and log market capitalization at the beginning of the period. * p<0.1, ** p<0.05, *** p<0.01. Robust standard errors in parentheses.

Table 2: Cumulative Abnormal Returns of Firms with Jewish Connections.

5.3 Table 3 and Figure 1: Stock Returns of Jewish-Connected Firms DID Estimates and Daily Returns DID Estimates

Read: Table 3 shows negative relative returns before *J'Accuse!* and positive relative returns after it. Figure 1 shows the timing and supports the lack of pre-trends.

Interpretation: This is the central result: the sign of market performance reverses across the two phases of the Affair.

Economic message: Prejudice-induced repricing is dynamic and tied to public events.

	Daily Returns		Monthly Returns	
	(1)	(2)	(3)	(4)
(a) % of Jewish Board Members				
% Board Members × Before <i>J'Accuse</i>	-0.077** (0.037)	-0.073* (0.038)	-2.249* (1.161)	-2.188* (1.244)
% Board Members × After <i>J'Accuse</i>	0.197** (0.099)	0.158** (0.079)	4.485* (2.436)	3.329* (1.981)
R ²	0.02	0.02	0.10	0.10
Mean Dep Var	0.011	0.011	0.152	0.152
Controls	No	Yes	No	Yes
Firms	124	124	124	124
Observations	339988	339988	13268	13268
(b) Jewish CEO				
Jewish CEO × Before <i>J'Accuse</i>	-0.006 (0.012)	-0.006 (0.013)	-0.276 (0.361)	-0.314 (0.406)
Jewish CEO × After <i>J'Accuse</i>	0.060** (0.025)	0.041* (0.023)	1.369** (0.635)	0.871 (0.581)
R ²	0.02	0.02	0.10	0.10
Mean Dep Var	0.011	0.011	0.152	0.152
Controls	No	Yes	No	Yes
Firms	124	124	124	124
Observations	339988	339988	13268	13268

Notes: This table reports estimates from equation (2). In columns 1–2, the dependent variables (expressed in percentage points) are the daily stock returns calculated as the daily growth rate in stock prices. In columns 3–4, the dataset is at the firm-month level and we look at monthly stock returns. In panel (a), Jewish connections are measured as the fraction of Jewish board members based on Grange (2016). Panel (b) looks at whether the firm has a Jewish CEO. See Section 3 for details. All regressions include firm fixed effects and trading day (in columns 1–2) or month (in columns 3–4) fixed effects. In columns 2 and 4, we add additional control for sector dummies, admission type, guarantee type (a dummy for stocks guaranteed by the French state), a dummy for conducting operations abroad, political connections, and initial log market capitalization interacted with the two period dummies corresponding to the two phases of the Dreyfus Affair.

* p<0.1, ** p<0.05, *** p<0.01. Robust standard errors clustered by firm.

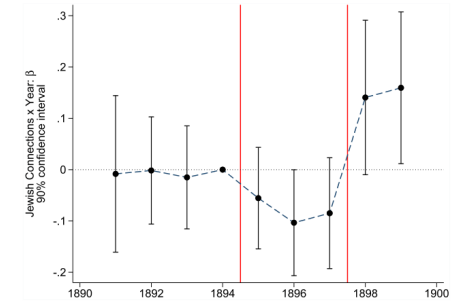
(fusard, June 1899). Among these, only the Waldeck-Rousseau appointment has a significant effect on the CARs of firms with Jewish connections. In particular, there is no evidence that the two anti-Dreyfusards (Mélina and Dupuy II) negatively affected the short-term performance of these firms.



(a) Table 3: Stock Returns DID estimates.

equation (2). In columns 1–2, the dependent variables are the daily stock returns. In columns 3–4, the dataset is at the firm-month level and we look at monthly stock returns. In panel (a), Jewish connections are measured as the fraction of Jewish board members based on Grange (2016). Panel (b) looks at whether the firm has a Jewish CEO. See Section 3 for details. All regressions include firm fixed effects and trading day (in columns 1–2) or month (in columns 3–4) fixed effects. In columns 2 and 4, we add additional control for sector dummies, admission type, guarantee type (a dummy for stocks guaranteed by the French state), a dummy for conducting operations abroad, political connections, and initial log market capitalization interacted with the two period dummies corresponding to the two phases of the Dreyfus Affair.

standard errors clustered by firm.



Notes: This figure reports estimates from the following specification: $y_{it} = \sum_i \beta_i \text{JewishBoardMembers}_i \times \text{Year}_t + \delta_i + (\mathbf{X}'_i \theta) \eta + \varepsilon_{it}$. y_{it} are daily stock returns measured for firm i on day t . The dashed gray lines indicate 90% confidence intervals and standard errors are clustered by firm. The two vertical top-to-bottom lines highlight the beginning of the Dreyfus Affair in late 1894 and the publication of *J'Accuse!* in January 1898, respectively.

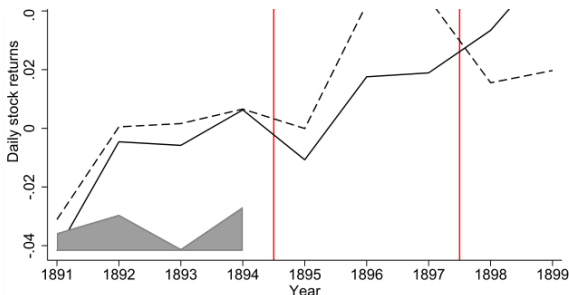
(b) Figure 1: Daily Returns DID estimates.

5.4 Figure 2 and Table 4: Synthetic DID Estimates

Read: Synthetic DID reproduces the post-*J'Accuse!* increase using a weighted control group.

Interpretation: The result survives a counterfactual constructed to match pre-treatment trends.

Economic message: The post-1898 rise is unlikely to be a simple pre-trend artifact.



Notes: This figure reports synthetic DID estimates from Arkhangelsky et al. (2021). This estimation is performed on a balanced panel dataset at the firm-year level. The dependent variable is average daily stock returns. The treatment group is defined as firms with a Jewish CEO at the onset of the Dreyfus Affair in 1894, and these firms are considered treated from 1895 onwards, which closely approximates the onset of the Dreyfus Affair (Dreyfus' military degradation and deportation took place in January 1895). The dark-shaded area represents unit and time-specific weights used to construct the synthetic control group in the pre-treatment period. Treatment and control units are further adjusted based on our standard set of covariates, namely sector dummies, admission type, guarantee type, a dummy for conducting operations abroad, political connections, and initial log market capitalization.

(a) Figure 2: Synthetic DID path.

Table 4
Synthetic DID Estimates.

Treatment:	Dreyfus' Degradation		<i>J'Accuse!</i>	
	(1)	(2)	(3)	(4)
Jewish CEO $\times$ Post treatment	0.00286 (0.01508)	0.00328 (0.01679)	0.04320*** (0.01257)	0.04101*** (0.01284)
Controls	No	Yes	No	Yes
Firms	124	124	124	124

Notes: This table reports synthetic DID estimates from Arkhangelsky et al. (2021). This estimation is performed on a balanced panel dataset at the firm-year level. The treatment group is defined as firms with a Jewish CEO at the beginning of the sample period in January 1891. In columns (1)-(2), these firms are considered treated from January 1895 onwards. In columns (3)-(4), these firms are considered treated from January 1898 onwards. Treatment and control units are further adjusted based on our standard set of covariates, namely sector dummies, admission type, guarantee type (a dummy for stocks guaranteed by the French state), a dummy for conducting operations abroad, political connections, and initial log market capitalization.
* p<0.1, ** p<0.05, *** p<0.01. Standard errors are computed using the placebo method of Arkhangelsky et al. (2021).

(b) Table 4: Synthetic DID Estimates.

5.5 Table 5: Coarsened Exact Matching Estimates

Read: Matched estimates preserve the negative first-phase effect and positive post-*J'Accuse!* effect.

Interpretation: The core result survives within a more comparable matched sample.

Economic message: Observable covariate imbalance does not explain the main pattern.

Table 5
Coarsened Exact Matching estimates.

Sample period	Daily Returns				Monthly Returns			
	1	2	3	All	1	2	3	All
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Jewish CEO $\times$ Before Degradation	-0.004 (0.006)				0.007 (0.249)			
Jewish CEO $\times$ Before <i>J'Accuse</i>		-0.022** (0.010)		-0.020* (0.011)		-0.637** (0.305)		-0.722** (0.367)
Jewish CEO $\times$ After <i>J'Accuse</i>			0.034* (0.018)	0.044** (0.020)			0.791* (0.431)	0.907* (0.541)
R ²	0.00	0.00	0.00	0.09	0.00	0.01	0.01	0.22
Mean Returns	-0.007	0.025	0.021	0.010	-0.028	0.012	0.037	0.143
Firms	112	112	112	112	112	112	112	112
Observations	137082	103028	66976	307086	5376	4032	2576	11984
Firm FE	No	No	No	Yes	No	No	No	Yes
Strata FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Strata $\times$ time FE	No	No	No	Yes	No	No	No	Yes
Sector $\times$ month FE	No	No	No	Yes	No	No	No	Yes

Notes: This table reports matching estimates from subsamples created by Coarsened Exact Matching (CEM) (Iacus et al., 2012). CEM is performed by observable covariates including sector dummies, admission type, guarantee type (a dummy for stocks guaranteed by the French state), a dummy for conducting operations abroad, political connections, and initial log market capitalization; only matched observations are retained. In columns 1–4, the dependent variables (expressed in percentage points) are the daily stock returns calculated as the daily growth rate in stock prices. In columns 5–8, the dataset is at the firm-month level and we look at monthly stock returns. The three sample periods refer to that (1) before Dreyfus' degradation (columns 1 and 5), (2) from Dreyfus' degradation until the publication of *J'Accuse* (columns 2 and 6), and (3) after the publication of *J'Accuse* (columns 3 and 7). In columns 1–3 and 5–7, the treatment variable is the indicator whether the firm has a Jewish CEO. Columns 4 and 8 consider all three periods, and undertake the benchmark regression in equation (2), with the interactions of the treatment with each period's indicator, as well as firm fixed effects, sector by month fixed effects, and matched strata by time fixed effects. All regressions include matched strata fixed effects. See Section 3 for data details.

Table 5: Coarsened Exact Matching estimates.

5.6 Table 6: Volatility and Risk-Adjusted Returns

Read: Volatility rises after *J'Accuse!*, but risk-adjusted returns also rise.

Interpretation: Arbitrage against discriminatory beliefs is profitable but risky.

Economic message: Risk helps explain why discrimination-related mispricing can persist.

Table 6
Volatility and Risk-Adjusted Returns.

	Volatility		Risk-Adjusted	
	(1)	(2)	(3)	(4)
(a) % of Jewish Board Members				
% Board Members $\times$ Before <i>J'Accuse</i>	3.025 (2.016)	2.519 (1.803)	-0.041 (0.032)	-0.036 (0.030)
% Board Members $\times$ After <i>J'Accuse</i>	6.411** (3.167)	5.503* (2.785)	0.102** (0.047)	0.096** (0.046)
R ²	0.02	0.02	0.02	0.02
Mean Dep Var	2.052	2.052	0.011	0.011
Controls	No	Yes	No	Yes
Firms	124	124	124	124
Observations	339988	339988	339988	339988
(b) Jewish CEO				
Jewish CEO $\times$ Before <i>J'Accuse</i>	0.407 (0.470)	0.508 (0.537)	0.005 (0.011)	0.008 (0.012)
Jewish CEO $\times$ After <i>J'Accuse</i>	1.701** (0.743)	1.564* (0.815)	0.036*** (0.012)	0.031** (0.012)
R ²	0.02	0.02	0.02	0.02
Mean Dep Var	2.052	2.052	0.011	0.011
Controls	No	Yes	No	Yes
Firms	124	124	124	124
Observations	339988	339988	339988	339988

Notes: This table reports estimates from equation (2). The dependent variables are squared demeaned daily returns in columns 1–2 and risk-adjusted returns in columns 3–4. Risk-adjusted returns are calculated as raw daily returns divided by the firm-specific standard deviation of raw returns for each firm. In panel (a), Jewish connections are measured as the fraction of Jewish board members based on Grange (2016). Panel (b) looks at whether the firm has a Jewish CEO. See Section 3 for details. All regressions include firm fixed effects and trading day fixed effects. In columns 2 and 4, we add additional control for sector dummies, admission type, guarantee type (a dummy for stocks guaranteed by the French state), a dummy for conducting operations abroad, political connections, and log market capitalization interacted with the two period dummies corresponding to the two phases of the Dreyfus Affair.

* $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$. Robust standard errors clustered by firm.

daily returns divided by the within-firm standard deviation of the Sharpe ratio). Across both measures of Jewish connections, the effect corresponding to the second phase of the Affair is positive and significant, and effect sizes are in line with those reported in prior literature. For example, the difference in daily returns between a board with Jewish board members and a board with zero Jewish board members is approximately 0.10 SD; this estimate is robust to including a set of interacted controls. While stock volatility increased after the Affair, firms with Jewish connections, investors who bet on these firms, were more than compensated for this increased risk.

checks Appendix Tables A.12 through A.18 report robust-

the different phases of the Affair. Second, we estimate equation (2) on the subsample of stocks with high trading frequency, namely all stocks on any given day (columns 3 through 6). Our core results in this selected subsample.

Appendix Table A.13 examines log-returns instead of simple percentage returns in our baseline analysis. The point estimates of the effect of Jewish connections are nearly identical in this case. Appendix Table A.14 shows robustness to excluding all observations in a $[-1, 1]$ window around dividend payment dates; this check ensures that returns on ex-dividend dates are not driving our results. In Appendix Table A.15, we look at an intent-to-treat measure of Jewish connections on the right-hand side of equation (2): namely Jewish connections

Table 6: Volatility and Risk-Adjusted Returns.

5.7 Table 7 and Table 8: Dividends and Foreign-Based Firms

Read: Table 7 finds no dividend improvement. Table 8 shows similar post-*J'Accuse!* returns among foreign-based firms.

Interpretation: The price movements are not well explained by firm fundamentals or domestic policy backlash.

Economic message: The evidence points toward changing investor beliefs.

Table 7
Firm Dividends during the Dreyfus Affair.

	Log Dividends		Dividends/price	
	(1)	(2)	(3)	(4)
(a) % of Jewish Board Members				
% Board Members $\times$ Before <i>J'Accuse</i>	-0.936 (0.845)	-1.148 (0.915)	-0.053 (0.042)	-0.059 (0.043)
% Board Members $\times$ After <i>J'Accuse</i>	-0.428 (0.990)	-0.293 (0.941)	-0.009 (0.045)	-0.019 (0.042)
R ²	0.76	0.78	0.63	0.65
Mean Dividends	2.928	2.928	0.045	0.045
Controls	No	Yes	No	Yes
Firms	124	124	124	124
Observations	1115	1115	1115	1115
(b) Jewish CEO				
Jewish CEO $\times$ Before <i>J'Accuse</i>	-0.384 (0.234)	-0.380 (0.236)	-0.023 (0.016)	-0.024 (0.016)
Jewish CEO $\times$ After <i>J'Accuse</i>	-0.318 (0.269)	-0.270 (0.255)	-0.016 (0.017)	-0.020 (0.017)
R ²	0.76	0.78	0.64	0.66
Mean Dividends	2.928	2.928	0.045	0.045
Controls	No	Yes	No	Yes
Firms	124	124	124	124
Observations	1115	1115	1115	1115

Notes: This table reports estimates using a panel dataset at the firm-year level between 1891–1899. Dependent variables are log dividends in columns 1–2 and dividends divided by the stock price (averaged by year) in columns 3–4. In panel (a), Jewish connections are measured as the fraction of Jewish board members based on Grange (2016). Panel (b) looks at whether the firm has a Jewish CEO. See Section 3 for details. All regressions include firm fixed effects and year effects. Even-numbered columns, we additionally include the same set of controls as in Tables 3–6 interacted with year fixed effects. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$. Robust standard errors two-way clustered by firm and trading day.

pendix Table A.17 shows that our main results are robust to including these observations in the analysis.

Finally, Appendix Table A.18 delves into the use of abnormal returns and firms' betas in the main specification. Including the interaction between firms' betas and market returns as a control does not change our estimates, either when we use raw returns (columns 1–2) or abnormal returns (columns 3–4) as the dependent variable—note that the main effects of firms' betas and the market return are absorbed by the firm and trading day fixed effects included in all specifications.

6. Interpretation

6.1. Expected shifts in performance

Dividends One potential explanation for our findings thus far could be

(a) Table 7: Firm Dividends.

Table 8
Risk and Returns among Foreign-Based Firms.

	Raw Returns		Volatility		Risk-Adj. Returns	
	(1)	(2)	(3)	(4)	(5)	(6)
(a) % of Jewish Board Members						
% Board Members $\times$ Before <i>J'Accuse</i>	-0.133 (0.099)	-0.170 (0.110)	2.723 (4.072)	-0.011 (4.630)	-0.059 (0.071)	-0.142* (0.077)
% Board Members $\times$ After <i>J'Accuse</i>	0.495* (0.270)	0.535** (0.239)	20.060*** (6.884)	19.343*** (5.771)	0.160 (0.109)	0.113 (0.123)
R ²	0.06	0.06	0.07	0.07	0.06	0.06
Mean Dep Var	0.009	0.009	2.972	2.972	0.005	0.005
Controls	No	Yes	No	Yes	No	Yes
Firms	30	30	30	30	30	30
Observations	82254	82254	82254	82254	82254	82254
(b) Jewish CEO						
Jewish CEO $\times$ Before <i>J'Accuse</i>	0.010 (0.020)	-0.002 (0.024)	0.331 (0.742)	-0.011 (1.147)	0.031 (0.019)	0.012 (0.025)
Jewish CEO $\times$ After <i>J'Accuse</i>	0.110** (0.046)	0.122** (0.051)	3.202** (1.256)	3.090* (1.525)	0.060** (0.022)	0.050* (0.029)
R ²	0.06	0.06	0.07	0.07	0.06	0.06
Mean Dep Var	0.009	0.009	2.972	2.972	0.005	0.005
Controls	No	Yes	No	Yes	No	Yes
Firms	30	30	30	30	30	30
Observations	82254	82254	82254	82254	82254	82254

Notes: This table reports estimates from equation (2), using only the sample of foreign firms listed in Appendix Table A.19. The dependent variables are raw daily returns in columns 1–2, squared demeaned daily returns in columns 3–4, and risk-adjusted returns in columns 5–6. Risk-adjusted returns are calculated as raw returns divided by the firm-specific standard deviation of raw returns for each firm. In panel (a), Jewish connections are measured as the fraction of Jewish board members based on Grange (2016). Panel (b) looks at whether the firm has a Jewish CEO. See Section 3 for details. All regressions include firm fixed effects, trading day fixed effects, and sector-by-month fixed effects. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$. Robust standard errors clustered by firm.

ted exposure to potentially discriminatory policies. If our key positive returns after *J'Accuse!* was mainly driven by changes about policies towards Jewish-connected firms, then its rehabilitation campaign should have had limited effects on his subsample. Index Table A.20 shows that state-guaranteed firms with Jewish

coverage that revealed the conspiracy against Dreyfus? Extensive work by historians suggests that the newspaper press played a decisive role in triggering shifts in public opinion throughout the Affair (Miquel, 2003)

We collected daily data on the coverage of the Dreyfus case by five contemporary newspapers: *Le Siècle*, *La Croix*, *Le Petit Journal*, *L'Aurore*, and *Le Libérateur*. For a subset of our study period (1894–

(b) Table 8: Foreign-Based Firms.

6 Interpretive synthesis

Antisemitic shocks generated short-run negative repricing. *J'Accuse!* first increased uncertainty but then set off a media campaign that plausibly reduced antisemitic bias and encouraged arbitrage. Because biased beliefs were volatile, arbitrage was risky and gradual. Dividends and foreign-firm results point away from pure fundamentals and toward beliefs.

7 Short summary

- The paper studies how antisemitic sentiment affected financial markets during the Dreyfus Affair.
- Jewish exposure is measured by board composition and Jewish CEO status.
- Event studies show negative abnormal returns around antisemitic shocks and positive abnormal returns around rehabilitation-related events.
- DID, SDID, and CEM show negative first-phase returns and positive post-*J'Accuse!* returns.
- Volatility rises, but risk-adjusted returns rise too.
- Dividends do not rise, and foreign-based firms show similar effects.
- The conceptual model explains these results using biased and noisy beliefs among antisemitic investors.

8 Conclusion

The paper shows that discriminatory beliefs can be priced in financial markets. Markets may create arbitrage opportunities against prejudice, but the uncertainty surrounding discriminatory beliefs makes arbitrage risky and slow. The result is partial, delayed correction rather than immediate elimination of discrimination-related mispricing.